INVESTMENT COMMITTEE MEMO

LG Uplus Corp.

KRX: 032640 - Korea's #3 telco at 2.9x EBITDA, with an AI data-centre platform the market is valuing at close to nothing

RECOMMENDATION: BUY

12-MO TARGET: KRW20,000 (+29%)

Reference price KRW15,510 (16-Oct-26)	52-wk range (close) KRW14,000-17,810	Mkt cap KRW6.6tn / US$4.9bn	Net debt (ex-leases) KRW4.5tn (Jun-26)
Dividend FY26E KRW700 (4.5%)	Largest holder LG Corp 38.7%	Foreign ownership ~41.9% (cap 49%)	Consensus target KRW18,964 (22 analysts)

2.9x

TEV / FY26E EBITDA - 2nd-lowest of 30 listed telcos (peer median 7.2x LTM)

~1.8x

Core telecom EV/EBITDA implied by the market if the data-centre business is valued at 8x sales (SK Horizon deal: ~14.6x)

KRW20,000

12-mo target; probability-weighted value ~KRW20,800 (+34%), plus a 4.5% dividend yield

Buy: a 13% FCF-yield telco whose data-centre business comes almost free

2.9x

TEV / FY26E EBITDA; 2nd-lowest of 30 telcos (median 7.2x). 13% levered FCF yield; 0.73x book

KRW4.3tn

AIDC value at 8x FY26E sales = 66% of market cap. KKR/IMM paid ~14.6x sales for SK Horizon (Aug-26) [e]

5.9%

FY26E shareholder yield: DPS KRW700 (4.5%) + KRW90bn buyback (1.4%), all shares cancelled

KRW20,000

12-mo target (+29%); bull +92% / bear -16%; probability-weighted ~KRW20,800

25%

Bear-case probability we assign (PIPC fine, subsidy war, AIDC lease-up failure)

Why now - four forces converging

- **Earnings inflection:** 1H26 OP +10%; record 2Q26 OP KRW344.5bn (+9% vs consensus). ERP savings; capex/sales down from 17.5% to 11-14%
- **AIDC re-rating marker:** KKR/IMM paid KRW3.08tn for 49% of SK Telecom's data centres (Aug-26). LG U+ AIDC revenue +29%; Paju 200MW, DC1 pre-let [u]
- **Capital returns:** KRW180bn of buybacks cancelled since 2025; KRW90bn running to Feb-27; interim DPS +8%; AA+ upgrades (first in 13 years)
- **Technical entry:** possible MSCI Korea deletion (Nov review, effective 30-Nov-26) [u] could create forced selling into a low-beta defensive

What has to go right

- Paju DC2-DC4 tenants announced by end-2027; AIDC revenue above KRW650bn in FY27E
- The PIPC / police outcome over the 2025 server wipe is contained (fine below KRW150bn, no licence conditions)
- Marketing stays at or below ~20% of service revenue after the July-2025 subsidy-cap repeal
- Payout drifts towards the 60% ceiling and every repurchased share keeps being cancelled

Position sizing: event-driven, medium conviction. Build half now and add into any MSCI-deletion selling (effective 30-Nov). The stock has traded with negative beta to KOSPI swings in 2026, so no index hedge is needed; a long LG U+ / short KT pair isolates the AIDC re-rating. First review: 3Q26 results (~5-7 Nov) and the PIPC decision.

LG Uplus at a glance - a regulated cash machine with a fast-growing data-centre landlord inside

What it does

- Korea's #3 mobile operator (~21% of handsets) but #2 by total lines (29.8% incl. IoT, ahead of KT). IPTV 5.8m, broadband 5.6m subscribers
- FY25: revenue KRW15.45tn; EBITDA KRW3.59tn (23.2%); OP KRW892bn after a KRW150bn early-retirement charge; NI KRW524bn
- ~79% recurring service revenue, ~100% domestic, in a licence-protected three-player oligopoly
- AIDC: IDC revenue ~KRW422bn FY25 [e], +29% in 2Q26. Paju 200MW campus (~KRW2tn capex): DC1 (50MW) Jun-27, DC2/3 Nov-28
- Controlled by LG Corp (38.7%); NPS 6.4%; foreign ~41.9% vs a 49% statutory cap

Revenue by line (KRW bn)

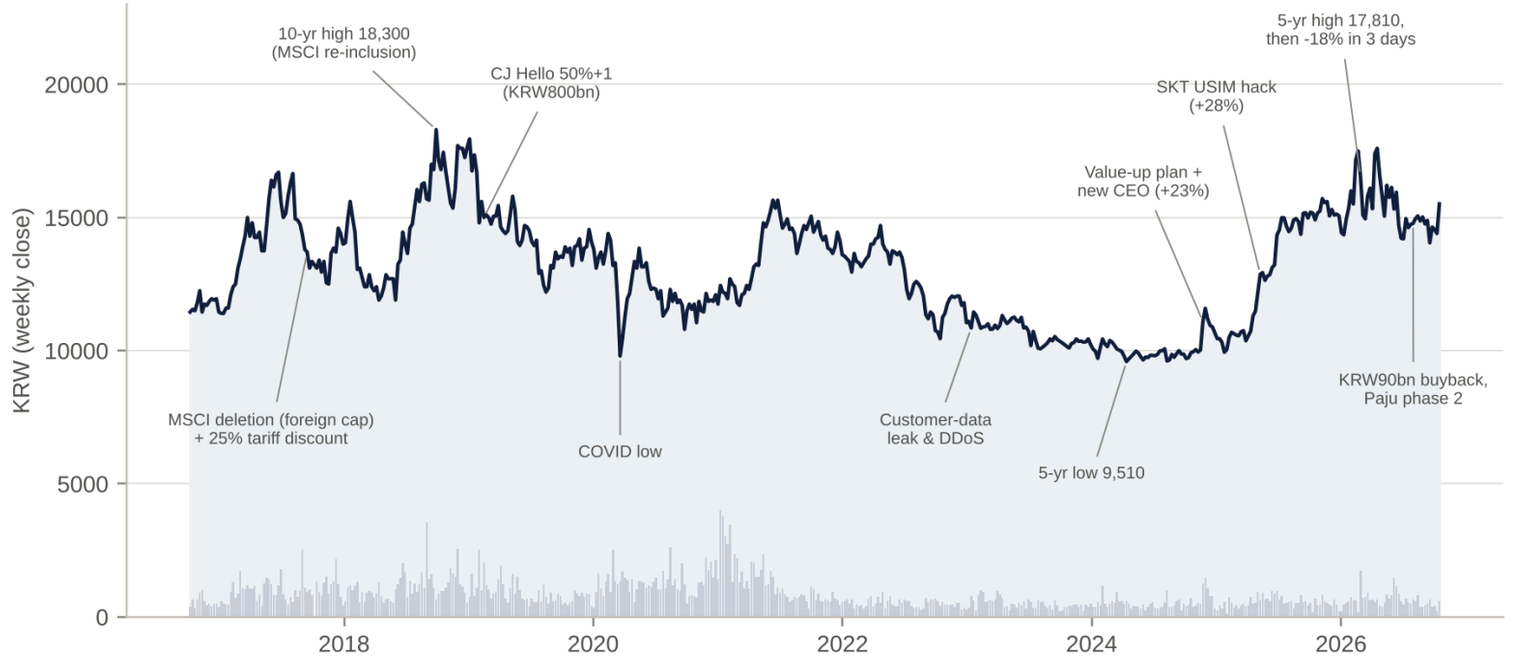
Line (KRW bn)	FY24	FY25	1H26	Trend
Mobile service	6,117	6,371	3,184	+4.1% FY25; +1.2% 2Q26
Smart Home (IPTV + broadband)	2,506	2,590	1,320	Broadband +7.6%; IPTV flat
Enterprise infrastructure	1,706	1,808	900	+6-9%
of which IDC / AIDC	357	~422 [e]	239	**+29-31%**
Handset sales [e]	2,782	~3,194	~1,386	-18% in 2Q26 (low margin)
Total revenue	**14,625**	**15,452**	**7,499**	**FY26E 15.3tn (ours)**

Mobile/Smart Home/Enterprise on management (standalone) basis; handset = total less service [e]. Source: company, DART, S&P Capital IQ.

The single most distinctive fact: in August 2026 KKR and IMM valued SK Telecom's data-centre unit (SK Horizon) at ~KRW6.3tn post-money, on ~KRW348bn of 2025 revenue. LG Uplus's IDC revenue base is already larger (~KRW422bn) [e], yet the whole of LG Uplus is valued at KRW6.6tn.

Value-up (2024), rivals' hacks (2025), the AIDC pivot (2026) - and still flat over five years

LG Uplus share price, weekly close, Oct-2016 to 16-Oct-2026 (last KRW15,510; volume shaded)



Key catalysts

AUG 2017	MSCI deletion (foreign-ownership cap); 25% tariff discount
FEB 2019	CJ Hello 50%+1 for KRW800bn (now worth ~KRW69bn)
JAN 2023	Customer-data leak and DDoS outages
APR 2024	5-year low KRW9,510; Paju site bought
NOV 2024	Value-up plan + new CEO Hong (+23%)
APR 2025	SK Telecom USIM hack; share gains (+28%)
FEB 2026	5-yr high 17,810, then -18% in 3 days
JUL 2026	KRW90bn buyback; Paju phase 2; PIPC police referral
SEP-OCT 2026	S&P BMI deletion; +10% during KOSPI crash

No single-day move above 10% in five years (largest: -9.5% on 4-Mar-26, a market crash day). Five-year price change +6% vs ~+125% for the KOSPI 200 proxy (KODEX 200). Source: S&P Capital IQ.

Bottom-decile multiples on every EV measure; the discount is mostly Korea, partly LG Uplus

Metric	LG Uplus	SK Telecom	KT	NTT	KDDI	Chunghwa	Singtel	China Mobile	Verizon	Median (29 peers)
TEV/Sales	0.74x	1.46x	0.69x	2.01x	2.61x	4.75x	5.28x	1.27x	2.73x	2.73x
TEV/EBITDA	3.07x	5.70x	3.23x	7.85x	8.71x	12.87x	12.90x	4.53x	6.63x	7.20x
TEV/EBIT	12.1x	20.0x	9.6x	15.0x	13.9x	23.3x	21.3x	9.7x	11.8x	16.6x
P/E (NTM)	8.5x	10.8x	6.8x	13.6x	14.5x	28.4x	19.6x	11.3x	8.8x	12.7x
EBITDA margin	24.0%	25.8%	21.0%	25.3%	29.3%	35.1%	23.9%	24.9%	36.8%	29.8%
EBIT margin	6.2%	7.5%	6.8%	13.1%	18.1%	20.4%	10.7%	13.1%	23.1%	18.3%
Net debt/EBITDA	1.22x	1.86x	1.33x	4.03x	2.48x	-0.44x	2.07x	-0.76x	3.35x	2.33x
Dividend yield	4.5%	2.1%	4.8%	3.1%	2.8%	3.4%	4.4%	6.8%	6.2%	4.5%

LTM to 30-Jun-2026; prices 16-Oct-2026. Source: S&P Capital IQ (TEV basis excludes LG U+ leases; lease-adjusted TEV/EBITDA ~0.3x higher). LG U+ dividend yield on FY26E DPS.

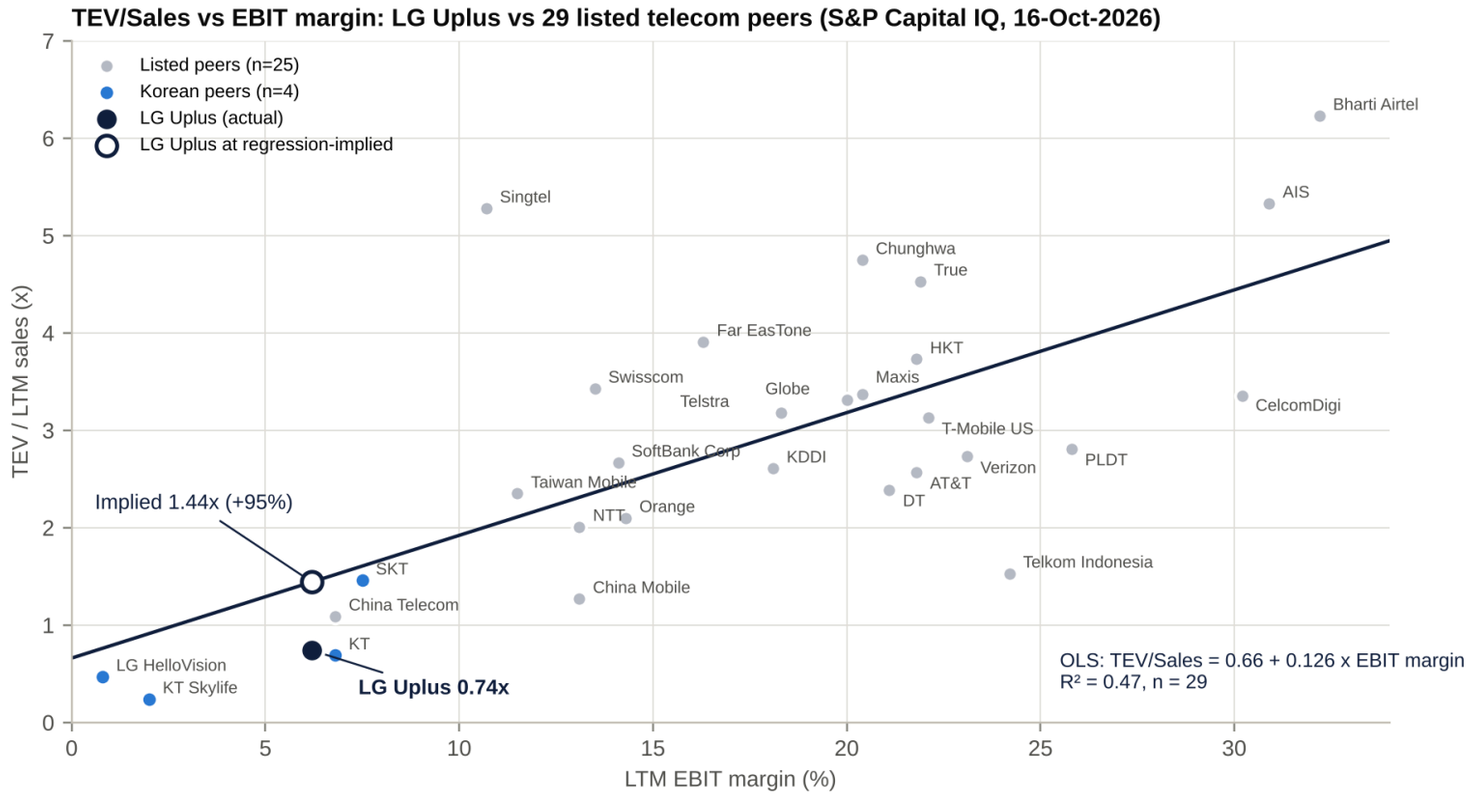
What the comparison shows

- LG U+ is 2nd-cheapest of 30 on TEV/EBITDA and in the bottom quintile of its own 10-year range (15th percentile); 5-yr average 3.1x
- Regression on TEV/Sales vs EBIT margin implies 1.44x (+95%); with a Korea dummy 0.90x (+22%). Most of the discount is country and regulation, ~20% is company-specific
- Highest FCF yield (13%) and lowest leverage (1.2x) in the Korean group; P/E (8.5x NTM) is in line with SKT/KT (8.8x average)

The honest counter-read

- EBIT margin is a third of the peer median (6.2% vs 18.3%): Korean regulation caps pricing while D&A stays high; ROE ~6% is below the cost of equity
- Cheapness alone has not worked for five years - the re-rating needs a visible AIDC mark or a step-up in returns

Regression: half the value of a typical telco at the same margin - and the gap survives a Korea discount

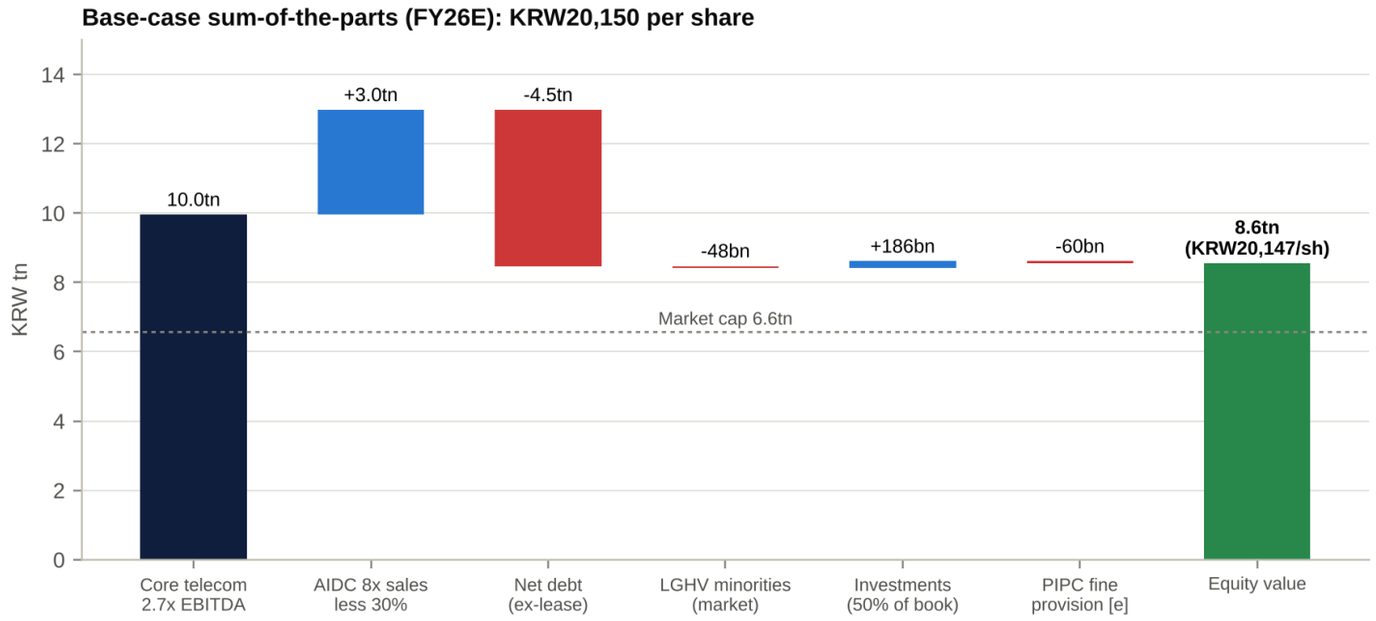


How to read it

- **LG U+ at 0.74x** sits ~49% below the line; the simple OLS implies **1.44x** at its 6.2% EBIT margin
- Slope 0.126x per point of margin: each 1pp of EBIT margin is worth ~KRW1.5tn of EV (~KRW3,600/share)
- R² of 0.47 (n=29). All Korean names sit below the line; adding a Korea dummy (-0.99x) still implies 0.90x (+22%)
- Our FY28E margin of 7.9% would imply ~1.66x on the simple line - margin repair alone is worth KRW6-8k per share
- The base case does not rely on the regression: it values the core at 2.7x EBITDA (below KT's 3.2x)

Regression (29 peers): TEV/Sales = 0.66 + 0.126 x EBIT margin (%), R² = 0.47. With Korea dummy: 1.29 + 0.098 x margin -0.99 (Korea), R² = 0.50. Source: S&P Capital IQ, our calculations.

Sum-of-the-parts: KRW20,150 per share in the base case, assuming a 30% discount on the AIDC



Base-case SOTP (KRW bn)

Component	Method	KRW bn
Core telecom	2.7x FY26E core EBITDA (3,688)	9,956
AIDC / IDC	8x FY26E sales (540) less 30%	3,025
Net debt (ex-leases)	Jun-26	-4,508
LGHV minorities	41.4% at market	-48
Investments	50% of book	+186
PIPC provision	Our estimate	-60
Equity / per share	**424.4m shares**	**8,551 / KRW20,147**

- AIDC is ~35% of base-case equity value even after a 45% discount to the SK Horizon multiple and a further 30% for non-crystallisation
- Today's price is consistent with AIDC at 8x sales less 30% and the core at only ~2.15x EBITDA - below KT ex-KT Cloud (~2.2-2.6x [e])
- Capital IQ TEV basis (net debt ex-leases; post-IFRS 16 EBITDA)

A 200MW AI data-centre platform growing ~30% a year, inside a telco valued at 2.9x EBITDA

200MW

Paju campus power (128MW IT load); 200kW/rack liquid cooling; DC1 50MW Jun-27, DC2/3 Nov-28

KRW124bn

2Q26 AIDC revenue, +28.9% YoY (1Q26 +31%); FY26E ~KRW540bn [e]

~14.6x

Trailing sales paid by KKR/IMM for 49% of SK Horizon (KRW3.08tn, Aug-26) [e]

KRW5tn

Cumulative AI-infrastructure order target by 2030 (incl. design-build-operate)

~KRW2tn

Total Paju capex; phase 2 up to KRW1.35tn approved 29-Jul-26, funded "within EBITDA"

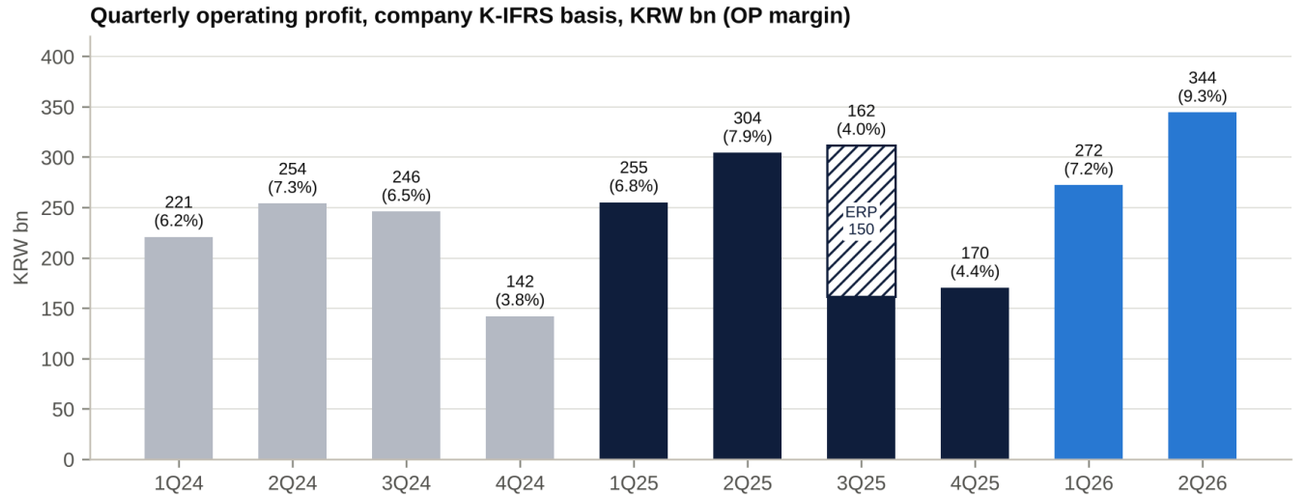
AIDC EV / FY26E sales	Value (KRW tn)	Per share	x Mkt cap	Implied core EV/EBITDA
4x	2.16	KRW5,090	33%	2.4x
6x	3.24	KRW7,640	49%	2.1x
8x (base, before discount)	**4.32**	**KRW10,180**	**66%**	**1.8x**
10x (bull)	5.40	KRW12,730	82%	1.5x
14.6x (SK Horizon) [e]	7.89	KRW18,580	120%	0.8x

FY26E AIDC sales KRW540bn [e]; implied core multiple at today's price on FY26E core EBITDA of KRW3,688bn [e].

What to watch

- **Tenants:** DC1 reported fully pre-let [u]; no hyperscaler named. DC2-DC4 leasing is the key 2027 milestone
- **Returns:** no IRR / hurdle disclosed for the KRW1.35tn phase 2 - the main governance question
- **Crystallisation:** SK Horizon (KKR/IMM) and KT Cloud (IMM, KRW4.6tn post-money) show the template
- **Competition:** SK Horizon (318MW), KT Cloud, LG CNS (sister company) and hyperscaler self-builds

Margins are inflecting as the 5G capex cycle ends - but FY27 consensus looks ~9% too high to us



Hatched: KRW150bn early-retirement (ERP) charge in 3Q25 (ex-ERP OP 311.7bn). 4Q24 includes ordinary-wage ruling charge. 2Q26 includes ~KRW20-25bn one-offs (election messaging).

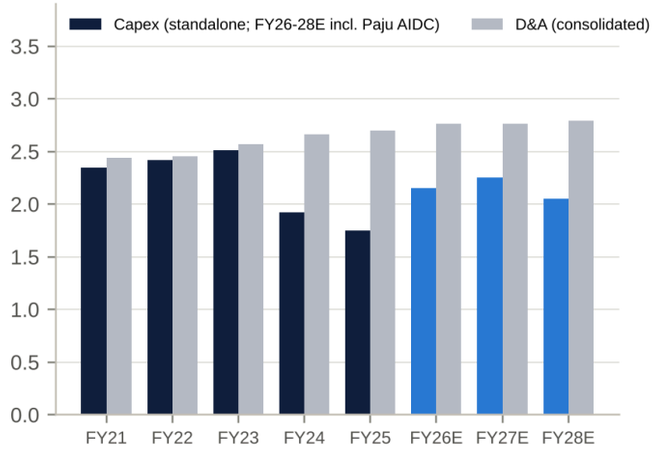
KRW bn	FY25A	FY26E	FY27E	FY28E
Revenue	15,452	15,329	15,591	15,955
EBITDA	3,589	3,904	3,945	4,058
Operating profit	892	1,137	1,185	1,268
OP margin	5.8%	7.4%	7.6%	7.9%
Net income	524	694	731	789
EPS (KRW)	1,221	1,641	1,756	1,927
Consensus EPS	-	1,733	1,922	2,079
DPS (KRW)	660	700	740	780

Our estimates [e]; consensus S&P Capital IQ (16-Oct-26). Company OP basis.

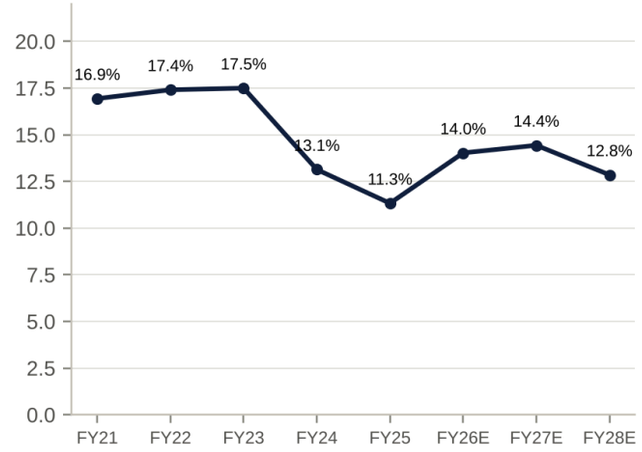
- 2Q26 OP KRW344.5bn beat by 9%, but ~KRW20-25bn was one-off; revenue missed by 5.5% (handsets); tax rate 30.9%
- Drivers: labour -2.5% after the ERP, AIDC mix, D&A +2.6%. Marketing still +7.6% YoY
- We are 5-9% below consensus EPS: 25% tax, recurring non-op losses, 2H wireless slowdown
- 3Q26 consensus OP KRW314bn (~5-7 Nov) - a clean comparison against the ERP-hit 3Q25

The capex cycle: from 17.5% of sales to 11% - the source of the FCF, the AA+ and the AIDC budget

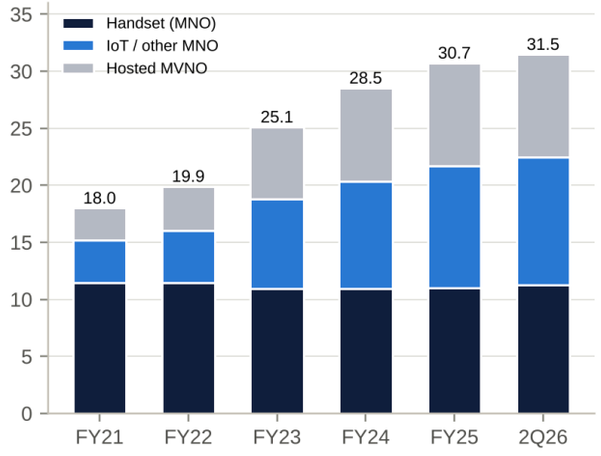
Capex vs D&A (KRW tn)



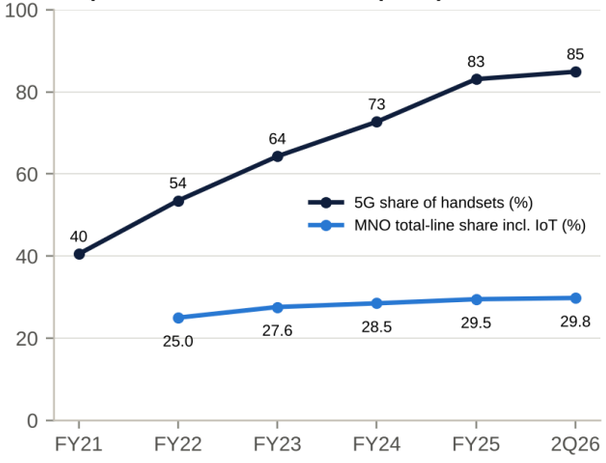
Capex / revenue (%)



Wireless lines (m); handset base ~flat at ~11m [e]



5G penetration and line share (MSIT)



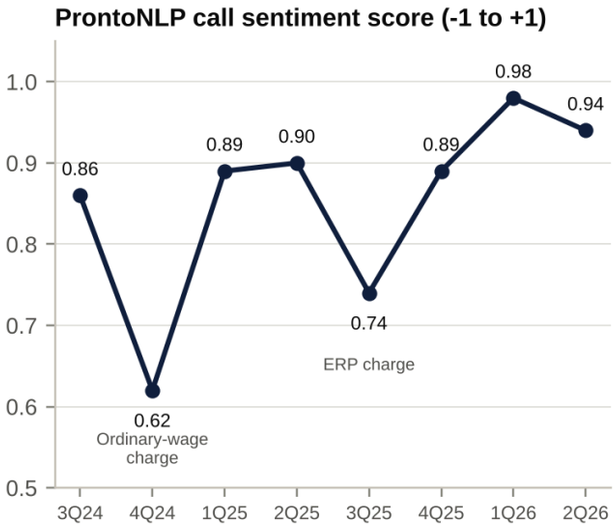
Why ROE halved - and why it is turning

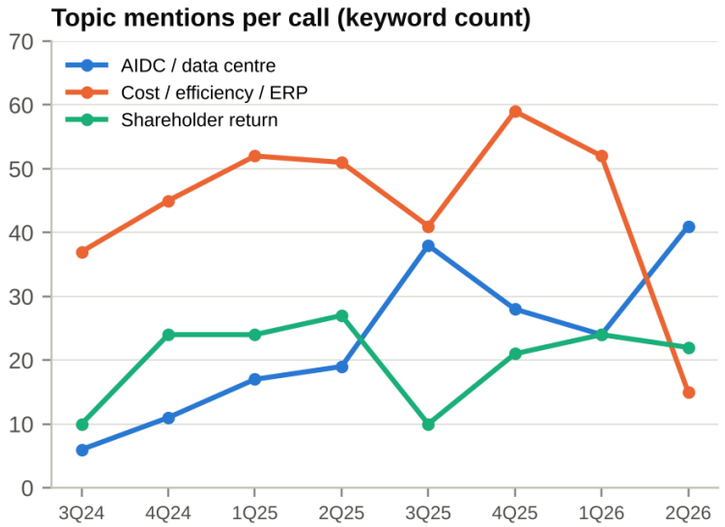
- **5G build (FY19-23):** capex KRW2.3-2.5tn a year (17% of sales) pushed D&A up KRW256bn in four years; OP margin fell from 7.8% (FY22) to 5.8% (FY25)
- **Normalisation (FY24-25):** capex down 30% to ~KRW1.75tn; FCF ~KRW0.95tn a year; AA+ upgrades
- **AIDC phase (FY26-28):** capex rises to ~KRW2.1-2.25tn (Paju), but network D&A starts to roll off; management caps capex "within EBITDA"
- **Volume is IoT and MVNO, not handsets:** lines +75% since FY21 but the handset base is flat at ~11m [e]; 5G penetration 85% (saturated)

Watch

- Marketing / service revenue (19.9% in 2Q26; ceiling ~21%)
- Long-term receivables +21% since 3Q25 while handset sales fall; inventory +51% QoQ

Tone is near a peak; the narrative has shifted from cutting costs to spending on AI data centres





ProntoNLP sentiment (importance-weighted event polarity, -1 to +1) and keyword counts per call, 3Q24-2Q26.

What management is focused on

- The story has moved from cost (ERP, tariff simplification) to **investment** (Paju 200MW, AICC, security) - AIDC mentions 6 to 41 per call
- Tone peaked in 1Q26 (0.98) and edged down in 2Q26 (0.94): first cautious "forecast" events on 2H wireless and power costs
- Both troughs (4Q24, 3Q25) were one-off labour charges, not business deterioration

Management

- **CEO Hong Bum-shik** (since Nov-24): ex-Bain Korea head, LG Corp strategy chief; delivered value-up, ERP, cancellations; owns 20k shares
- **CFO Yeo Myung-hee** (since 2023): career LG U+ finance; AA+ upgrades; capital-return architect
- Professional chaebol managers; cash-only pay; insider ownership <0.02%; CEO chosen by LG Corp

Conservative and improving balance sheet; the AIDC is the capital-allocation call that will define returns

KRW4.51tn

Net debt ex-leases (Jun-26): 1.22x LTM EBITDA; cash KRW1.26tn; D/E 114% (target ~100%)

AA+

NICE, KIS and Korea Ratings upgrades (Feb-Mar 2026) - the first in 13 years; CP A1

KRW180bn

Buybacks cancelled since 2025 (12.2m shares, 2.8%); KRW90bn more running to 13-Feb-27

~KRW0.98tn

FY25 FCF before leases [e] (CFO less capex and spectrum); FY26E consensus KRW1.2tn

Capital-allocation record

- **Good:** every repurchased share cancelled; DPS raised (550 to 700E); deleveraging; ERP; cheap top-up of LGHV to 58.6% (2024)
- **Poor:** CJ Hello for KRW800bn at a ~75% premium (2019) - stake now worth ~KRW69bn; ~KRW90bn U+3.0 start-up spree; Watcha abandoned
- **Unclear:** ~KRW2tn Paju AIDC with no hurdle rate disclosed; ~KRW0.5tn a year of related-party IT spend with LG CNS [u]
- **Returns:** ROE 6.0% (FY25), ROIC ~4-5%; the 8-10% ROE target needs both margin and payout

Priorities we would push for

1. Bring an infrastructure partner into the AIDC (SK Horizon template) and return part of the proceeds
2. Move the payout to the 60% ceiling, with every buyback cancelled
3. Squeeze out or sell LG HelloVision (~KRW50-70bn for the minority)
4. Disclose AIDC IRRs and benchmark LG CNS contracts; introduce equity-linked pay

No - LG Corp's 38.7% blocks a proxy fight; the new Commercial Act gives minorities a voice, not control

38.7%

LG Corp (164.4m shares, Jun-26) - rising only through cancellations

6.4%

National Pension Service (27.1m shares, Jun-26); Kopernik ~4.3% [u]

~41.9%

Foreign ownership vs a 49% statutory cap (~7pp of headroom)

0

Activist campaigns ever at LG U+; Palliser's LG Chem campaign was rejected in Mar-26

Why activism could work here

- An obvious, quantifiable "value to unlock": the AIDC, on a public SK Horizon mark
- 2025 Commercial Act: directors' duty to shareholders, separately elected audit members (3% rule), mandatory cumulative voting [u]
- Board only 57% independent; first independent chair (Mar-26); management owns <0.02%
- Short interest negligible (<1% [e]); a 5.9% shareholder yield supports the holding cost

Where the limits are

- LG Corp's 38.7% plus NPS (which voted against Palliser at LG Chem) make a proxy win improbable
- Best achievable: one cumulative-voting director at the Mar-27 AGM with ~10-15% of minorities [e]
- Most likely route is private engagement on AIDC partnering and payout - management has moved pre-emptively
- Foreign-ownership cap and MSCI eligibility limit how much stake foreign funds can build

What an activist would ask for: (1) an infrastructure partner for the AIDC on the SK Horizon template, with part of the proceeds returned; (2) payout at the 60% ceiling with all buybacks cancelled; (3) a squeeze-out or sale of LG HelloVision; (4) published benchmarking of LG CNS and brand-fee payments; (5) equity-linked executive pay. Management has already pre-empted part of (2).

Unlikely as a whole, likely in parts - the AIDC, LG HelloVision and buyback-funded shrinkage

Transaction	Date	Value	Multiple	Read-across
SK Horizon (49%) - KKR / IMM	Aug-26	KRW3.08tn	~14.6x sales [e]	AIDC mark for LG U+
SK Broadband minority - SK Telecom	Nov-24	KRW1.15tn	4.9x EBITDA	Closest Korean telecom comp
KT Cloud (13%) - IMM	May-23	KRW600bn	KRW4.6tn post-money	Korean cloud/IDC value
Hyundai HCN - KT Skylife	Oct-20	KRW491bn	~5.4x EBITDA [e]	Korean cable
CJ Hello 50%+1 - LG Uplus	Feb-19	KRW800bn	6.3x EBITDA [e]	LG U+'s own (value-destructive)
XL Axiata + Smartfren	Dec-24	EV US$6.5bn	~5.3x EBITDA	APAC mobile merger
NTT Data minority - NTT	May-25	JPY2.37tn	13.1x EBITDA; 34% premium	Parent take-private

Source: S&P Capital IQ Transactions, company releases. [e] multiples on S&P standardised EBITDA.

Takeout value grid (TEV / FY26E EBITDA of KRW3,904bn)

TEV / EBITDA	3.0x	3.5x	4.0x	4.9x	5.4x	6.3x
Value per share (KRW)	17,295	21,893	26,492	34,770	39,368	47,646
Premium to KRW15,510	+12%	+41%	+71%	+124%	+154%	+207%

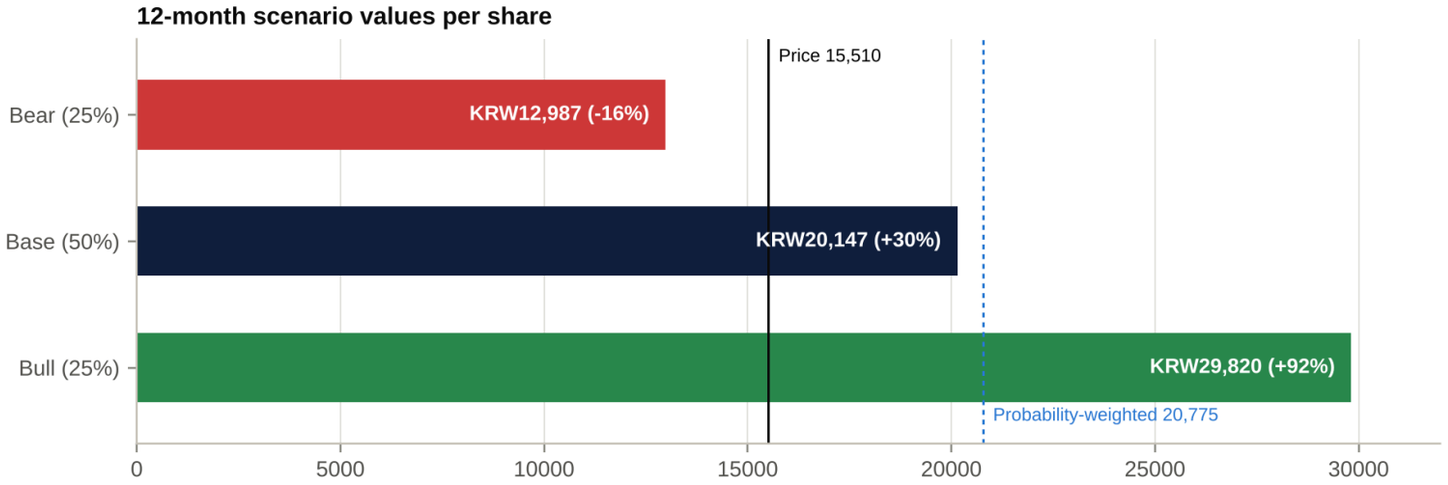
Equity = multiple x FY26E EBITDA - net debt (KRW4,508bn) - LGHV minorities at market + 50% of investments.

What a control price would look like

- 3.5x FY26E EBITDA = KRW21,900 (+41%), 4.0x = KRW26,500 (+71%), 4.9x (SKB minority) = KRW34,800 (+124%)
- Even a Japanese-style 30-40% take-private premium implies only ~3.5-3.7x - far below 5-6x precedents
- Impediments: LG Corp control; 49% foreign cap; MSIT public-interest review; no domestic buyer passes antitrust; bond change-of-control clause
- Most likely events, in order: (1) AIDC minority sale/partnership, (2) payout to 60%, (3) LGHV squeeze-out or sale, (4) LG Corp block sale

Asymmetric: -16% downside vs +92% upside; probability-weighted ~KRW20,800

	Bear (25%)	Base (50%)	Bull (25%)
Core EBITDA (FY26E basis)	KRW3,550bn (subsidy war, tariff cuts)	KRW3,688bn (our estimate)	KRW3,750bn (marketing <19%)
Core EV/EBITDA	2.4x (KT ex-cloud)	2.7x	3.1x (LG U+ 5-yr average)
AIDC (FY26E sales KRW540bn)	4x sales less 30%	8x sales less 30%	10x sales (stake sold)
PIPC fine / contingencies	KRW150bn	KRW60bn	None
Equity value	KRW5.5tn	KRW8.6tn	KRW12.7tn
Per share	**KRW12,987 (-16%)**	**KRW20,147 (+30%)**	**KRW29,820 (+92%)**



Downside support: a 4.5% dividend, a 13% FCF yield and negative beta to KOSPI; even the bear case only takes the core to KT ex-cloud levels. **Upside driver:** almost entirely the market putting a value on the AIDC. Probability-weighted value ~KRW20,775 (+34%), ~38% expected total return with dividends.

3Q26 results, the MSCI review and the PIPC decision dominate the next two quarters

~5-7 NOV-26 [E]	**3Q26 results**	Consensus OP KRW314bn; clean comparison vs ERP-hit 3Q25; AIDC; tax rate	HIGH
~10-12 NOV-26 (EFF. 30-NOV)	**MSCI Korea review**	Possible deletion / FIF cut [u] - forced selling as an entry point	HIGH
LATE NOV-26	**LG Group reshuffle; value-up update**	CEO continuity; payout and ROE targets	MEDIUM
4Q26 - 1H27	**PIPC decision and police probe**	Fine size (KRW50-300bn range [e]); licence conditions	CRITICAL
DEC-26	**3G/LTE licence re-allocation; 5G SA**	Fee terms and FCF	MEDIUM
LATE JAN / FEB-27	**FY26 final DPS; FY26 results and guidance**	Payout drift towards 60%; FY27 capex and AIDC guidance	HIGH
13-FEB-27 / MAR-27	**Buyback ends and cancellation; AGM**	First AGM with cumulative voting [u]; director elections	MEDIUM
JUN-27	**Paju DC1 (50MW) opens**	First AIDC step-up; DC2-DC4 leasing news	HIGH
ANY TIME	**AIDC partnership or stake sale; LGHV restructuring**	Value crystallisation (SK Horizon template)	CRITICAL

What would make this thesis wrong

01 PIPC / criminal outcome

Servers were wiped before the 2025 probe; police referral (Jul-26). Fine of KRW100-300bn or licence conditions; proposed evidence-destruction fines of up to 3% of revenue

02 AIDC over-build

~KRW2tn (30% of market cap) committed; DC2-DC4 tenants undisclosed; SK Horizon, KT Cloud and hyperscaler self-builds compete for the same demand

03 Subsidy war

Subsidy cap abolished (Jul-25); a recapitalised SK Telecom wants its share back; marketing is amortised, so a war hurts OP for 2-3 years

04 Government intervention

Tariff cuts, data safety-net plans, fee waivers, spectrum pricing (2026 re-allocation; 5G in 2028) - returns are capped by policy

05 Capital returns cut

Buybacks are "flexible" around AIDC needs; separate-basis LGHV impairment (book KRW656bn vs ~KRW69bn market) could hit the dividend base

06 Index and foreign-cap flows

S&P BMI deletion (Sep-26); possible MSCI deletion (Nov-26) [u]; foreign room ~7pp limits new buyers

INVESTMENT COMMITTEE DECISION

Recommendation: BUY

KRW20,000
12-mo target (+29%)

2.9x
TEV / FY26E EBITDA

~1.8x
Core EV/EBITDA if AIDC at 8x sales

5.9%
Shareholder yield FY26E

- Korea's #3 telco trades at 2.9x EBITDA, a 13% FCF yield and 0.73x book, as the 5G capex cycle ends and margins inflect (1H26 OP +10%)
- A 200MW AI data-centre platform growing ~30% a year is embedded at close to zero value - while KKR/IMM just paid ~14.6x sales for SK Telecom's equivalent
- Capital returns are credible (all buybacks cancelled; DPS rising; AA+), and the Commercial Act and dividend-tax reforms raise the pressure to crystallise value
- Main risks: the PIPC / police case over the 2025 server wipe, AIDC lease-up, and a subsidy war - hence event-driven sizing

Sizing and monitoring

Event-driven, medium conviction. Build half the position now; add into MSCI-deletion selling (effective 30-Nov-26). No index hedge needed (negative beta in 2026); optional long LG U+ / short KT pair to isolate the AIDC re-rating.

Hard review triggers: PIPC fine above KRW200bn or licence conditions; buyback or DPS cut; no Paju DC2 tenant by end-2027; marketing above 21% of service revenue.

Track separately: 3Q26 results (~5-7 Nov), MSCI review, PIPC/police, FY26 DPS (late Jan), Paju DC1 opening (Jun-27), any AIDC partnership.